

ABC PRIVATE LIMITED

Chartered Accountant Financial Audit Report — FY 2024-25

Prepared as per Schedule III, Companies Act 2013 | Generated: 30 May 2026, 11:29 PM

Company	ABC Private Limited	Financial Year	2024-25
Report Type	CA Audit Report	Health Status	Loss-Making
Prepared By	CA Intelligence Suite	Report Date	30 May 2026

1. Executive Summary

On behalf of **ABC Private Limited**, this report presents the audited financial position for the financial year **FY 2024-25**. The business recorded total revenue of **Rs. 36,97,85,529.72** against total expenditure of **Rs. 79,57,03,840.39**, yielding a net loss of **Rs. 45,61,44,287.70**. The resultant profit margin of **-115.18%** classifies the financial health as **Loss-Making**.

CA Advisory: As your Chartered Accountant, I must draw your attention to the fact that a profit margin of -115.2% is below acceptable thresholds. Immediate corrective action on cost rationalisation, pricing review, and revenue acceleration is necessary to preserve business continuity.

KPI	Value
Total Revenue	Rs. 36,97,85,529.72
Total Expenses	Rs. 79,57,03,840.39
Net Loss	Rs. 45,61,44,287.70
Profit Margin	-115.18%
Expense Ratio	215.2%
Financial Health	Loss-Making
Net GST Payable	Rs. 0.00
Key Risk	Critically low profit margin — profitability at risk
Key Strength	Strong asset cover ratio

2. Statement of Profit & Loss

(For the period ending 31st March, 25)

Particulars	Amount (Rs.)
-------------	--------------

I. Revenue from Operations	Rs. 27,13,39,663.11
II. Other Income	Rs. 9,84,45,866.61
TOTAL REVENUE (I + II)	Rs. 36,97,85,529.72
III. Expenses	
Cost of Material Consumed	Rs. 7,12,38,131.24
Employee Benefit Expenses	Rs. 17,65,94,554.69
Finance Costs	Rs. 10,79,34,586.18
Depreciation & Amortisation	Rs. 7,78,81,187.21
Other Expenses	Rs. 36,20,55,381.07
TOTAL EXPENSES	Rs. 79,57,03,840.39
IV. Profit Before Tax (I+II-III)	Rs. -42,59,18,310.67
V. Less: Provision for Income Tax	Rs. 3,02,25,977.03
VI. NET PROFIT / (LOSS)	Rs. -45,61,44,287.70

The business generated a net loss of Rs. 45,61,44,287.70, representing a profit margin of -115.18% on total revenue of Rs. 36,97,85,529.72. The expense ratio stands at 215.2%, indicating elevated cost management.

3. Balance Sheet (Validated) — As at 31st March

I. EQUITY AND LIABILITIES	Amount (Rs.)
(a) Shareholders' Funds	
Share Capital	Rs. 76,16,66,532.64
Reserves & Surplus	Rs. -12,14,80,072.72
Sub-total: Shareholders' Funds	Rs. 64,01,86,459.92
(b) Non-Current Liabilities	
Long-term Borrowings	Rs. 93,26,01,226.37
Deferred Tax Liability	Rs. 65,16,200.00
Other Long-term Liabilities	Rs. 2,19,69,645.62
Long-term Provisions	Rs. 2,80,98,718.68
Sub-total: Non-Current Liab.	Rs. 98,91,85,790.66
(c) Current Liabilities	
Short-term Borrowings	Rs. 5,70,93,686.90
Trade Payables	Rs. 8,36,31,759.12

Other Current Liabilities	Rs. 4,74,52,741.55
Short-term Provisions	Rs. 3,02,25,977.03
Sub-total: Current Liabilities	Rs. 21,84,04,164.60
TOTAL EQUITY & LIABILITIES	Rs. 1,84,77,76,415.18
II. ASSETS	Amount (Rs.)
(a) Non-Current Assets	
Tangible Fixed Assets (PPE)	Rs. 91,72,03,458.66
Intangible Assets	Rs. 49,19,30,986.06
Capital Work-in-Progress	Rs. 25,84,43,600.98
Non-current Investments	Rs. 4,27,66,690.84
Deferred Tax Assets	Rs. 70,93,304.24
Long-term Loans & Advances	Rs. 48,21,237.82
Sub-total: Non-Current Assets	Rs. 1,72,22,59,278.61
(b) Current Assets	
Inventories	Rs. 6,51,26,344.25
Trade Receivables	Rs. 2,29,65,676.64
Cash & Cash Equivalents	Rs. 1,05,53,600.00
Short-term Loans & Advances	Rs. 33,19,500.00
Other Current Assets	Rs. 2,35,52,015.68
Sub-total: Current Assets	Rs. 12,55,17,136.57
TOTAL ASSETS	Rs. 1,84,77,76,415.18

VERIFICATION: Balance Sheet BALANCES. Total Assets (Rs. 1,84,77,76,415.18) = Total Equity & Liabilities (Rs. 1,84,77,76,415.18). A residual balancing adjustment of Rs. -49,19,50,208.13 has been posted to Reserves & Surplus.

4. Comparative Financial Analysis (Year-on-Year)

Comparative analysis requires data spanning at least two financial years. The current dataset covers only one fiscal year — prior-year figures are unavailable.

5. Cash Flow Insight (Indirect Method Estimate)

Cash Flow Component	Amount (Rs.)
Net Profit for the Period	Rs. -45,61,44,287.70
Add: Depreciation & Amortisation	Rs. 7,78,81,187.21
Add: Finance Costs	Rs. 10,79,34,586.18
Less: Working Capital Change	(Rs. 44,60,261.76)
A. OPERATING CASH FLOW	Rs. -27,47,88,776.07
B. INVESTING CASH FLOW (estimated)	Rs. -1,66,75,78,045.71
C. FINANCING CASH FLOW (estimated)	Rs. 1,75,13,61,445.90
NET CASH FLOW (A + B + C)	Rs. -19,10,05,375.88
Cash & Cash Equivalents on Hand	Rs. 1,05,53,600.00

Liquidity Assessment: **WEAK** — Liquidity position is WEAK. Estimated operating cash flow is ■-27,47,88,776.07, with ■1,05,53,600.00 in cash and cash equivalents. Negative operating cash flow indicates the business is consuming more cash than it generates. Immediate working capital review and cash flow planning is strongly recommended.

Note: Cash flow figures are estimated using an indirect method proxy from ledger data. Actual cash flow statement requires bank reconciliation and may differ.

6. GST Analysis

GST Head	Amount (Rs.)
Output GST (Collected on Sales)	Rs. 3,50,51,239.45
Less: Input GST Credit (on Purchases)	(Rs. 5,14,49,486.05)
NET GST PAYABLE	Rs. 0.00

Net GST liability for the period: Rs. 0.00. Input Tax Credit must be reconciled with GSTR-2B before filing GSTR-3B. Ensure blocked credits per Section 17(5) CGST Act are excluded from ITC claims.

7. Financial Ratios & Interpretation

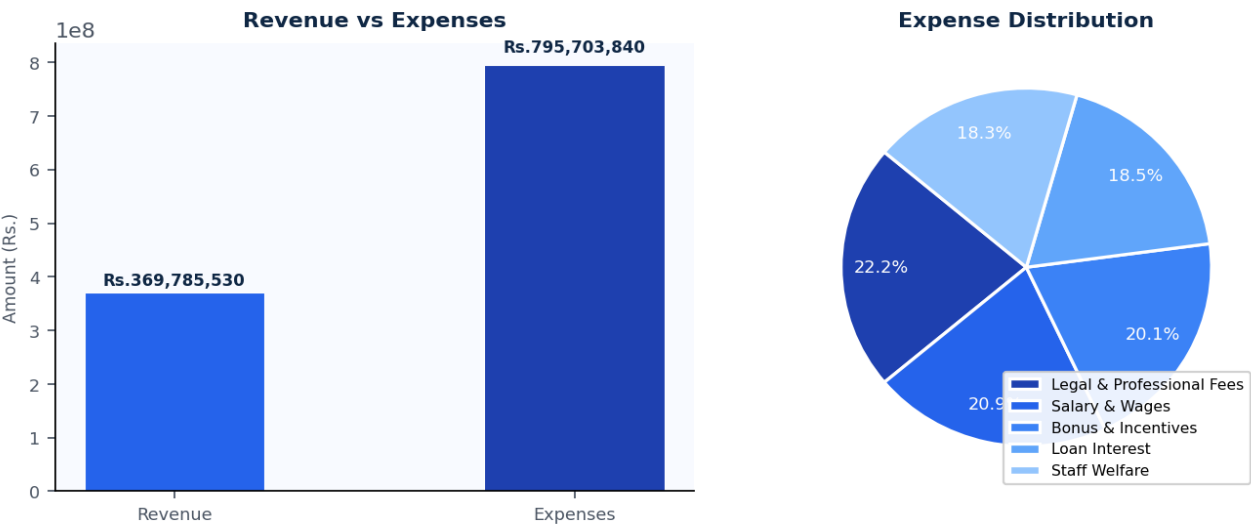
Ratio	Formula	Value	Status	Interpretation
Profit Margin	Net Profit / Revenue × 100	-115.2%	Loss	Below the 15% strong-business benchmark.
Expense Ratio	Total Expenses / Total Revenue × 100	215.2%	High	Elevated cost base.
Debt-to-Equity	Total Borrowings / Shareholders' Funds	1.55x	Moderate	Moderate external debt financing.
Current Ratio	Current Assets / Current Liabilities	0.57x	Liquidity Concern	Short-term obligations not fully covered.

8. Expense Analysis — Top Categories

Rank	Expense Category	Amount (Rs.)	% of Total Expenses	Observation
1	Legal & Professional Fees	Rs. 5,31,66,943.42	6.7%	Primary cost driver — monitor closely
2	Salary & Wages	Rs. 5,00,36,037.44	6.3%	Major outflow — review for efficiency
3	Bonus & Incentives	Rs. 4,81,06,035.86	6.0%	Significant — assess budget alignment

'Legal & Professional Fees' is the primary cost driver. Regular budget monitoring and variance analysis against prior periods is recommended.

9. Graphical Analysis



Bar Chart: Revenue of Rs. 36,97,85,529.72 vs Expenses of Rs. 79,57,03,840.39. Expenses exceed revenue — net loss. Net loss: Rs. 45,61,44,287.70.

Pie Chart: The expense distribution chart reveals the relative share of each expense sub-category — categories with a disproportionately large slice are strategic cost-optimisation targets.

10. Compliance Analysis — Tax & Regulatory

The following compliance observations are presented in order of severity. Each finding is classified using a traffic-light system: Critical (immediate action required), Warning (review recommended), Informational (advisory note).

CRITICAL

[TAX COMPLIANCE] Section 40A(3) — Cash Expenditure Assessment	Identified 795 expense transaction(s) settled in cash, each exceeding Rs.10,000. Aggregate at risk: Rs. 20,68,52,591.84. May result in income-tax disallowance under Section 40A(3) ITA 1961.
[TAX COMPLIANCE] Section 269ST — Cash Receipts/Payments Exceeding Rs.2 Lakh	Detected 369 transaction(s) of Rs.2,00,000 or more in cash. Total: Rs. 59,52,51,817.98. Penalty risk under Section 269ST — immediate policy review advised.

WARNING

[TAX COMPLIANCE] Tax Audit Threshold — Section 44AB	Gross receipts of Rs. 36,97,85,529.72 exceed the Rs.1 Crore threshold. Statutory Tax Audit under Section 44AB is required. Ensure timely appointment of a CA and filing of Forms 3CA/3CB/3CD.
[TAX COMPLIANCE] TDS Obligation Check — Form 26Q	High-value expenditure requiring TDS verification: • Professional Fees: Rs. 9,04,07,546.48 — TDS under Section 194J Failure to deduct TDS may result in disallowance under Section 40(a)(ia).

Tax Provision Validation: Tax validation not applicable — no taxable profit exists for the period.

No advance tax obligation arises when PBT is zero or negative.

11. Anomaly Detection & Unusual Transactions

Statistical outlier threshold: Rs. 3,08,700.00 (Q3 + 3×IQR using 12,000 transactions). Transactions exceeding this threshold are flagged for individual vouching.

1739 anomalous transaction(s) detected. Each entry mathematically deviates from regular ledger patterns.

Date	Description	Amount	Category	Payment_Mode
2025-03-04	Paid-up capital	Rs. 25,82,98,671.12	Liability	UPI
2024-12-14	Property acquisition	Rs. 22,59,07,386.26	Asset	Bank Transfer
2024-11-21	Long-term loan disbursement	Rs. 18,24,74,442.80	Liability	NEFT/RTGS
2025-02-10	Equity share capital	Rs. 14,26,67,661.52	Liability	UPI
2025-01-22	Goodwill on acquisition	Rs. 14,11,48,383.89	Asset	Cheque
2024-12-27	Delivery van acquisition	Rs. 13,35,79,259.41	Asset	UPI
2024-12-16	Securities premium on issue	Rs. 12,58,73,575.26	Liability	UPI
2024-11-27	Goodwill on acquisition	Rs. 12,49,63,915.27	Asset	UPI
2024-12-08	NCD issued	Rs. 10,93,55,152.51	Liability	Bank Transfer
2024-08-24	WIP payment	Rs. 9,20,08,208.71	Asset	NEFT/RTGS

12. CA Recommendations

The following recommendations are derived from the financial data analysed in this report. Each recommendation is actionable and specific to the observed financial position.

1	Profit Margin Improvement The current profit margin of -115.2% is critically low. Implement a 90-day cost review targeting the top 3 expense categories and evaluate pricing against market benchmarks.
2	Expense Rationalisation Expense-to-income ratio of 215.2% is unsustainably high. Implement departmental budget caps and require prior approval for discretionary expenditure above defined thresholds.
3	Working Capital Management Current ratio of 0.57x indicates potential liquidity stress. Reduce debtor collection days below 30, negotiate extended payable terms, and establish a minimum cash reserve.
4	Statutory Tax Audit Gross receipts of Rs. 36,97,85,529.72 exceed the Rs.1 Crore threshold under Section 44AB. Appoint a CA for tax audit and ensure Forms 3CA/3CB/3CD are filed within the statutory due date.
5	GST Compliance Perform monthly GSTR-2B reconciliation before filing GSTR-3B to ensure all eligible ITC is claimed and blocked credits per Section 17(5) are reversed.
6	Cash Payment Controls Implement a policy requiring all business payments above Rs.5,000 to be made through banking channels. This mitigates disallowance risk under Sections 40A(3) and 269ST.
7	TDS & Advance Tax Establish a quarterly tax compliance calendar: TDS deposits (Forms 26Q, 24Q) by the 7th of each following month, and advance tax in four statutory tranches per Section 208.

13. Conclusion

ABC Private Limited closed FY 2024-25 with total revenue of **Rs. 36,97,85,529.72** and a net loss of **Rs. 45,61,44,287.70**, reflecting a profit margin of **-115.18%**. The financial health of the entity is classified as **Loss-Making** with a risk level of **High**.

The current financial position requires urgent management attention. The combination of low profitability and potential liquidity constraints poses a material risk to business continuity in the near term.

Based on the analysis, the financial statements present a reasonable view of the financial position and performance of the entity for the reported period.

All statutory compliance obligations — including GST filing, TDS deposits, advance tax payments, and statutory audit — must be adhered to on a timely basis to protect the business from financial penalties and reputational risk.

14. Disclaimer

This report has been generated using an AI-based financial analysis system (CA Intelligence Suite v2.0) and is intended solely for informational and advisory purposes. The financial data, computations, and insights presented herein are derived from the ledger data uploaded by the user and are subject to the accuracy and completeness of that underlying data.

This report does not constitute a Statutory Audit Report, Tax Audit Report, or any official certification under any provision of the Companies Act 2013, the Income-tax Act 1961, the CGST Act 2017, or any other applicable legislation. It is not a substitute for professional advice from a qualified Chartered Accountant holding a valid Certificate of Practice issued by the ICAI.

The AI-generated insights, tax compliance observations, and financial ratio interpretations are indicative in nature and should be independently verified by a qualified finance professional before any business, tax, or investment decisions are made on the basis of this report.

The CA Intelligence Suite, its developers, and associated parties shall not be held liable for any financial loss, penalty, or legal consequence arising from the use of this report.